

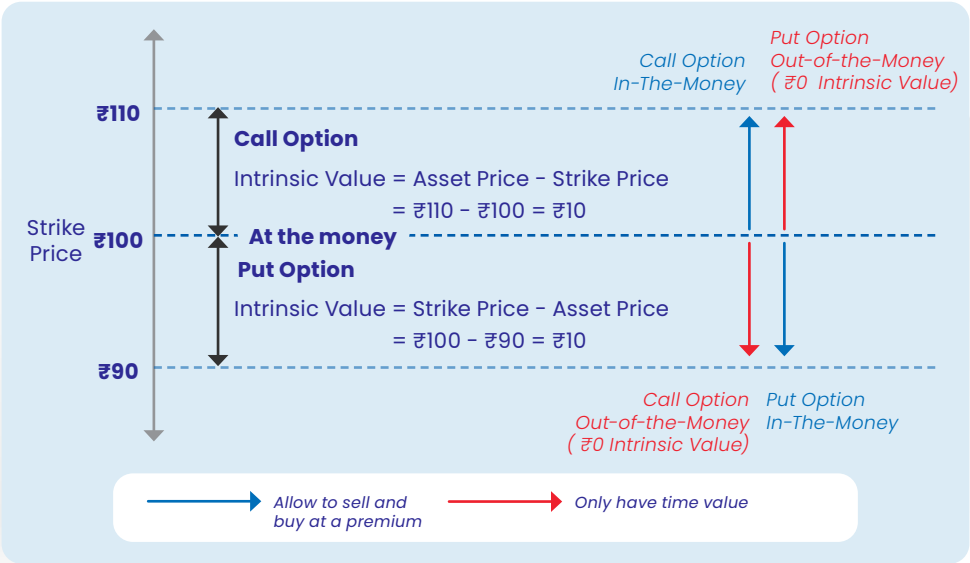
In this example, your maximum risk was the premium paid for the option, i.e., ₹2. However, your potential reward was unlimited.

If the market price of the pen had increased to ₹10,00,000, your option would still enable you to buy it at ₹100. However, it is unrealistic that a pen's price will increase from ₹100 to ₹10,00,000 in a short period. So, when people say that profits in options are unlimited, you must take it with a pinch of salt.

2.2 Intrinsic Value vs Time Value

An option's trading price has two portions: **intrinsic value and time value**. Let us understand them in detail. An option has intrinsic value if immediately exercising it results in a profitable transaction.

For example, puts with strike prices above ATM (at-the-money) have some intrinsic value. So do calls with strike prices below ATM. They allow you to sell at a premium and buy at a discount. They are called in-the-money (ITM) options. An ITM option's intrinsic value is the difference between its strike price and the ATM.



On the other hand, puts with strike prices lower than ATM and calls with strike prices above ATM will not have any intrinsic value. These options will result in a loss-making transaction if you exercise them immediately. They are called out-of-the-money (OTM) options. OTM options have no intrinsic value. They will only have a time value.